Dr. **Insurance premium account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2017							
June 18	To Cash A/c		100				

4.5.1 Posting of opening journal entry

In case of existing business enterprises, opening entry is made at the beginning of the accounting period to bring into account the balances of accounts which were not closed in the preceding accounting period. The accounts not closed are capital, liabilities and assets appearing in the balance sheet of the previous year. The entry passed is as follows:

Assets A/c (individually)	Dr. xxx	
To Liabilities A/c (individually)		xxx
To Capital A/c		xxx

While posting the opening entry in the individual ledgers, the term balance brought down (balance b/d) is used. The steps involved in posting the opening entry are as follows:

Step 1: The items debited in the opening entry are entered on the debit side of respective accounts. The words 'To Balance b/d' are written in the particulars column with respective amounts in the amount column, date being the first day of the accounting period.

Step 2: The items credited in the opening entry are entered on the credit side of respective accounts. The words 'By Balance b/d' are written in the particulars column with respective amounts in the amount column, date being the first day of the accounting period.

Illustration 2

Prepare necessary ledger accounts in the books of Joy from the following opening entry:

In the books of Joy
Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
2017					
Jan 1	Cash A/c	Dr.		45,000	
	Stock A/c	Dr.		50,000	
	Sohan A/c	Dr.		35,000	
	Furniture A/c	Dr.		50,000	
	To Ram A/c				20,000
	To Joy's capital A/c				1,60,000
	(Balances of assets and liabilities brought forward)				

Solution

Ledger accounts

Dr. **Cash account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2017							
Jan 1	To Balance b/d		45,000				

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